

Table 5.1: Trends in Social Service Sector Expenditure by the Centre and States combined (as a % to GDP)

Item	2014-15	2015-16	2016-17	2017-18	2018-19	2019-20 RE	2020-21 BE
Expenditure on Social Services of which:	6.2	6.6	6.8	6.7	6.7	7.5	8.8
i) Education	2.8	2.8	2.8	2.8	2.8	3.0	3.5
ii) Health	1.2	1.3	1.4	1.4	1.4	1.5	1.8
iii) Others	2.1	2.5	2.6	2.4	2.6	3.0	3.5

Source: Economic Survey 2020-21

Note: 1. Social services include, education, sports, art and culture; medical and public health, family welfare; water supply and sanitation; housing; urban development; welfare of SCs, STs and OBCs, labour and labour welfare; social security and welfare, nutrition, relief on account of natural calamities etc. 2. Expenditure on 'Education' pertains to expenditure on 'Education, Sports, Arts and Culture'. 3. Expenditure on 'Health' includes expenditure on 'Medical and Public Health', 'Family Welfare' and 'Water Supply and Sanitation'

School and Higher Education Infrastructure

Since the Indian economy will have the highest young population in the world over the next decade, the country's growth and development in the coming years will primarily rely upon its ability to provide high-quality educational opportunities to them. The progress in school and higher education infrastructure is given in Table 5.2.

Table 5.2: Increase in Number of Recognised Schools, Colleges and Universities Infrastructure

Year	Primary and Upper Primary Schools (in lakhs)	Secondary and Sr. Secondary Schools (in lakhs)	Colleges	Universities
2011-12	11.93	2.12	34852	642
2018-19	12.37	2.76	39931	993

Source: Education Statistics at a Glance, 2018 & U-DISE+ Report and AISHE Report 2018-19, M/o Education

Physical Infrastructure

Physical infrastructure implies those infrastructures which directly support the process of production and distribution in the economy. It is directly concerned with the needs of such production sectors as agriculture, industry, trade, etc. They indirectly increase the factor productivity and the economy sees the impact immediately. Physical infrastructure leads to growth in the short run. A few such examples are energy, irrigation, transportation, telecommunication, banking, insurance, technology, finance, etc.

Check Your Progress 1

- 1) What is the importance of infrastructure in a country's development? What kind of activities does it comprise?

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- 2) What are the types of infrastructure?

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- 3) Describe the relationship between infrastructure and Economic Growth with reference to the experience of the Indian Economy.

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- 4) Distinguish between social infrastructure and physical infrastructure and their importance for the economy.

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5.2 PRIVATISATION AND COMMERCIALISATION OF INFRASTRUCTURE

The heavy-industry-led-growth strategy embodied in our earlier plans contemplated an active role for the state in all spheres of economic activity. Investment in infrastructure became the exclusive preserve of the public sector. The public sector, although it recorded phenomenal growth, could not live up to

the opportunities and expectations offered by the changing technology and evolving new international environment. With the onset of the 1980s, it was becoming increasingly clear that there was no alternative but to commercialise the infrastructure sector and open it to private enterprise and capital. Private participation in infrastructure development depends upon its capability to commercialise the infrastructure services.

5.2.1 Need for Privatisation and Commercialisation

The different factors that call for immediate privatisation and commercialisation of infrastructure can be identified as follows:

Massive Investment Needs: Infrastructure development requires massive investments and it is not possible for the state to meet all the investment needs.

Managerial Constraints in the Public Sector: While the infrastructure business is becoming more complex, public sector has not been able to meet the managerial challenges and as a result, the supply could not grow at the desired pace. The fiscal stringency has also created a demand for accountability for public spending.

Therefore, a demand has arisen for commercialisation and greater privatisation of infrastructure sector in order to inject greater efficiency.

Changes in Technology: The possibility of marginal pricing and exclusion provides greater scope for commercialisation. Technological changes have made it possible to unbundle the infrastructure service thereby introducing the elements of competition. The use of new technology enables the charging of the marginal user.

Globalisation: The availability, quality, cost and reliability of infrastructure services are key factors in attracting foreign investment. Globalisation has been aided significantly by advances in transport, telecommunication and storage technology.

New Dynamism in World Capital Market: Since 1990s the capital markets, domestic as well as global, have witnessed a significant re-emergence. During this period there has been a nearly four-fold increase in gross private capital flows to the developing countries. Private flows are now around three times the official development assistance. Thus, the private sector now has access to the kind of resources needed for infrastructural development.

5.2.2 Prerequisites for Private Investment

Entry of private capital in infrastructure sector is not merely a matter of simple policy initiatives. A few other important and critical areas would have to be identified and a suitable environment created.

Commercialisation of Infrastructure: Infrastructure services should not be treated as public goods. In this regard, the possibility of commercialisation will depend on the ability to segregate payers and prevention of any incidence of 'free riding'. Thus the excludability is a key factor in commercialisation.

Pricing Policy: The role of private sector is not restricted to that of provider of funds. It has to play the role of efficient and accountable operator of the facility.